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Project Management 2.5

The Business Case Process
Things that managers will be looking at when reading the business case

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The Business Case – Management perspective

Purpose of a business case (OGC):

- The Business Case is used to obtain management commitment and approval for investment in business change including projects and programmes, through rationale for the investment.
- The Business Case provides a framework for planning and management of the business change.
- The ongoing viability of a project or programme will be monitored against the Business Case.

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The Business Case – Management perspective

- The business case is the one place where all relevant facts are documented and linked together into a cohesive story. This story tells people about the what, when, where, how and why.











Current Steady

↓

Describing why 'do nothing' isn't viable

↓

Creating a burning platform

Change Project

↓

Identifying the resources needed for change

↓

Costs, cash flow, effort risks and opportunities

Future Steady State

↓

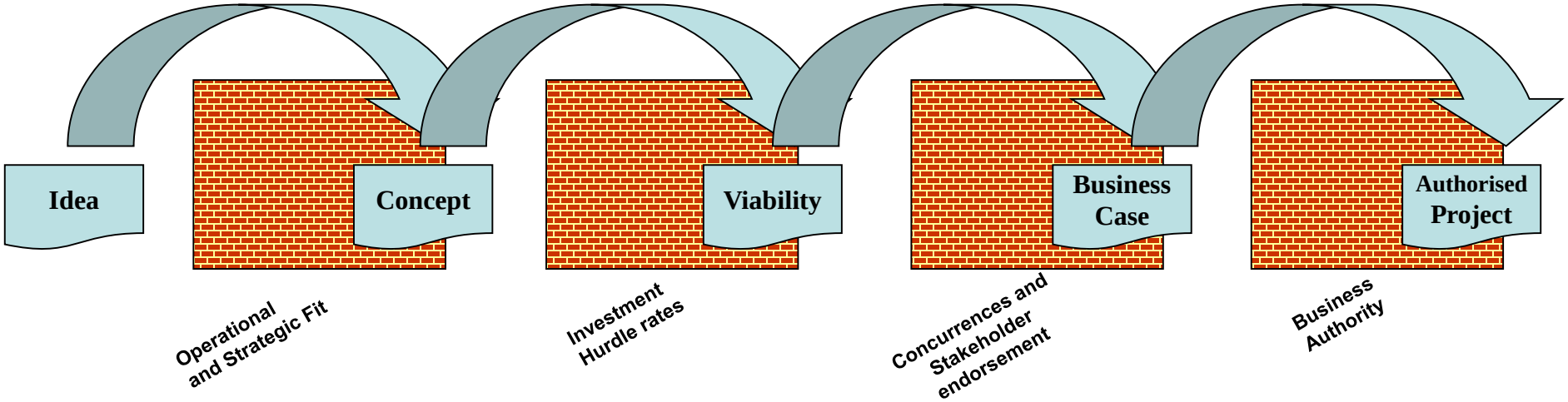
Quantifying the Benefits

↓

Efficiencies, receipts, revenue

The Business Case – Management Perspective

- Centrally supported repeatable process that helps ensure that the Business obtains best value from its many investment options



- The process should ensure that only those projects and programmes that meet a real strategic need and have Business support can bid for a share of the limited resources available.

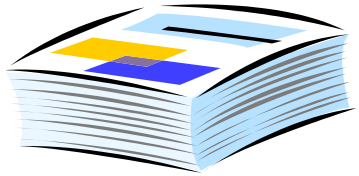
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Main Options Considered

- You will need to include the top three (could be 5 or more) options considered in outline form
- This is particularly true of publicly funded entities
- It is important to demonstrate sound decision making
- It is important to provide support for your selected option.

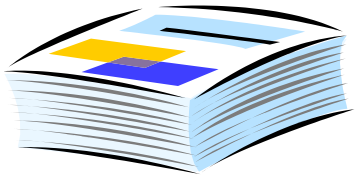
The Business Case – Management Perspective

- Creates a compelling case for change
- Many types of proposal
  - Cost reduction projects
  - Expansion projects
  - Compliance projects
- Sets Boundaries
- Living document
  - As time passes the world changes and new information is available
- Complexity varies with the nature of the project
- Financials in the Business Case will be used to project future spending and income for the business – this means that changing these numbers will affect many other business documents, and perhaps business cases.



The Business Case – Management Perspective

- Presents arguments to seek approval for resource and/or investment
  - Provides information that:
    - Identifies the need for the proposed solution
    - Evaluates the cost effectiveness of the proposal
    - Includes Risks identified
- Audience
  - Decision makers
  - Partners.



The Business Case – Management Perspective

- Business needs to be assured that resources deployed will be a good investment and there will be benefit to the business.
- Proposed systems
  - Go – No go
- Existing systems



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Projects and Organisational Strategy

Strategic management – the science of formulating, implementing and evaluating ***cross-functional decisions*** that enable an ***organisation*** to achieve its ***objectives***.

Consists of:

- Developing vision and mission statements
- Formulating, implementing and evaluating
- Making cross functional decisions
- Achieving objectives.

Derived from Pinto, J. (2019) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

Projects Reflect Strategy

Projects are ***stepping stones*** of corporate strategy

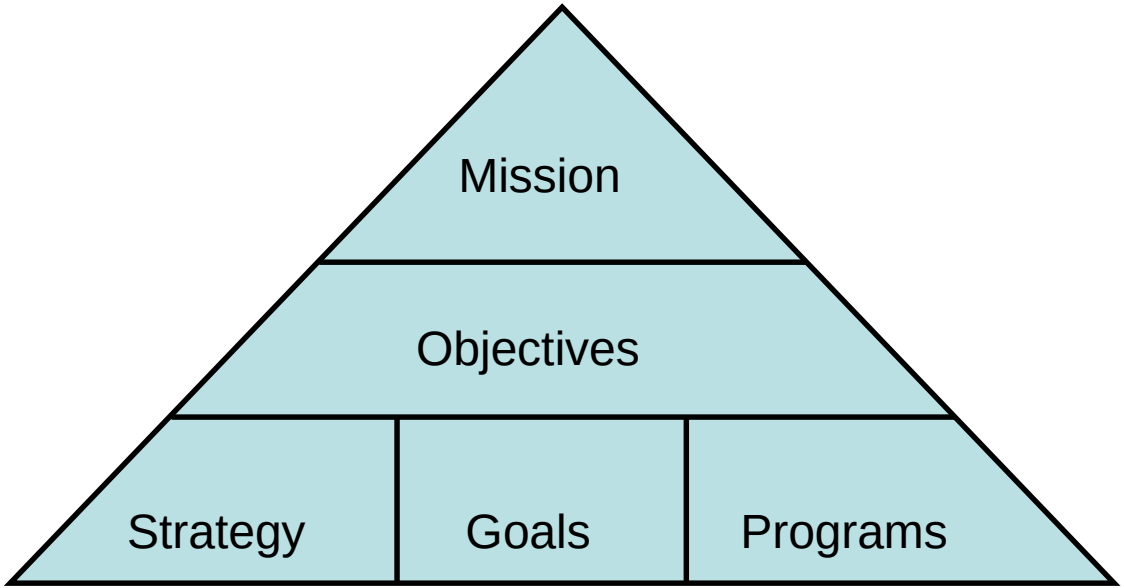
The firm's strategic development is a ***driving force*** behind project development

Some examples include:

A firm wishing to…	may have a project
redevelop products or processes,	to reengineer products or processes.
change strategic direction or product portfolio configuration,	to create new product lines.
improve cross-organizational communication & efficiency	to install an enterprise IT system.

Derived from Pinto, J. (2019) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

Relationship of Strategic Elements



Derived from Pinto, J. (2019) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

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Business Alignment

- **Plan** - The objectives of the business need to be written as requirements for the project – this means gaining clear perspective of what it is the business is looking for in terms of benefits – this is important, and difficult to do. At this point, a definition of the measures of success will be determined
- **Model** – Depending on the context, this may mean making an “As is” assessment of the business processes, IT processes, manufacturing processes, service processes etc. and then developing a module of the “Will be” scenario after the project deploys.
- **Manage** – The project team, in collaboration with their sponsor, will work to manage the expectations and outcomes of the project team and key stakeholders to actually derive the benefits that fit with the business objectives
- **Measure** – Monitor and measure how the project activities are working toward meeting the objectives of the business, and correcting course if these have drifted apart.

http://www.cioupdate.com/insights/article.php/3446591/The-Four-Phases-of-ITBusiness-Alignment.htm

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Investment Objectives

- This is a statement about what the organisation expects in terms of investment from the project proposed
- This may include an increase in capital, and improvement in income, customer satisfaction – how to measure the investment required by the project and the returns on that
- This could be thought of as another way to state benefits.

http://www.investorwords.com/2622/investment_objective.html

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Service Requirements

- There are five basic questions that need to be asked in the context of a project:
  - What is the service, and how do I get it? (Service Description)
  - How do I get help? How do I use the service? (Help and Self-Service)
  - What Does It Cost? (Service Cost and Pricing)
  - How do we support this service? (Service Support)
  - How do we provide this service? (Service Delivery).

Derived from http://its.ucsc.edu/itsm/servicedef.html

The Business Case – Management Perspective

- Does the proposed system:
  - Add value?
  - Achieve strategy/competitive advantage?
  - Spend money wisely compared with other business options?
- Is the proposed system
  - A Legal requirement
  - A Business development
    - Mergers
    - New locations etc
  - To cut costs
  - To add to revenue
    - Directly
    - Indirectly.



Two types of Business Case

- Mandatory
  - Minimise cost
  - Maximise benefits
- Financially justified
  - Minimise cost
  - Maximise benefits
- Both have similar financial aspects.



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Critical Success Factors

1. Alignment with project mission
2. Top management support
3. Project plans & schedules
4. Client consultation
5. Personnel
6. Technical tasks
7. Client acceptance
8. Monitoring & feedback
9. Communication channels
10. Troubleshooting.

Derived from Pinto, J. (2019) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

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Outline of Preferred Option

- This is where you describe the option selected
- Identify the key selection factors
- Define the expected benefits of this option
  - These will be broken down into strategic benefits, operational benefits, customer benefits etc. if done properly
  - If there are any knock on effect to service delivery, facilities availability etc during the project, these may be highlighted here
  - This section might also include information about why other options were rejected.

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Outline Commercial Case

- Defining organisational strategy
- How the selected option fits with the strategy
- Information about how the preferred option is aligned to the organisations' strategic direction
- The length and detail will be determined by the complexity and scale of the project.

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Outline Financial Case

- This is where the key financial numbers would be
  - NPV
  - IRR
  - Estimates
- Options considered,. With these key numbers, should be presented, and the preferred option justified using the numbers and information available.

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Project Scope

Project scope *is* ***everything about a project*** *– work content as well as expected outcomes.*

The scope needs to be defined to show what will, and will NOT be included in the project

Scope management *is the function of* ***controlling a project*** *in terms of its goals and objectives and consists of:*

1) Conceptual development
2) Scope statement
3) Work authorization
4) Scope reporting
5) Control systems
6) Project closeout

Derived from Pinto, J. (2019) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

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The Scope Statement Process

1. Establish the project **goal criteria**
   a) cost
   b) schedule
   c) performance
   d) deliverables
   e) review and approval gates
2. Develop the **management plan** for the project
3. Establish a **work breakdown structure**
4. Create a **scope baseline.**

Derived from Pinto, J. (2019) Project Management: Achieving Competitive Advantage, 5th Edition, Prentice Hall

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Quality

- The Business Case does not contain the great detail about quality.
- The Business Case should indicate the key quality criteria
- A statement about the attitude and dedication to quality might be included, as well as suggestions that may be taken for achieving that quality
- Testing is a form of quality control – if there are key tests, these might be identified
- A quality log (or similar), and quality criteria, will be produced as part of project planning activities in larger projects

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Value Management

- The stakeholders have a set of expectations that ideally would be met
- The organisation has a finite set of resources (including funding)
- Value management is the balancing of the stakeholders' wants and needs, while keeping a close eye on the resources available to meet these needs
- Value management is finding the best case compromise to deliver the best of the project for the stakeholders, and the equitable, sensible use of organisational resources
- This is started during the requirements process, monitored in the planning and implementation process, producing measurements that can indicate how successful the value managment has been, and indicating adjustments as required.

Risks and Impacts

- A risk statement of known key project risks can be included in the business case, as well as mitigations.
- Detailed risk analysis, risk logs, and risk mitigations will be created during the project start up, and continue throughout deployment
- Of there are known issues that will impact the organisation as a result of the project, these should be highlighted
- There may be issues in the Business Case, but only as it relates to authorisation – deployment issues will be reserved for start-up and governance throughout the project

How to stop your business case from gaining approval

- Do not provide a convincing argument
- Include ambiguous or unacceptable option
- Include unreliable data
- Do not do adequate research
- Leave out bad news!



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The Business Case - Review

- Introduction and Background
- Management Summary
- Problem or Opportunity
- Options Available
- Cost/Benefit Analysis
- Impacts and Risks
- Evaluation criteria/ Conclusion/Recommendation

- Once a project has started its progress should be regularly measured against the business case,

remembering that change will have wide-reaching implications!!

- Are costs or timescales being exceeded?
- Are the business benefits being eroded?
- Are risks emerging/disappearing?